



Matt Samson
President & Financial Advisor
Business Phone/Text
402.204.0230
Cell Phone
402.980.5183
Matt.Samson@ilsfinancial.com

The High-Income Blind Spot

Why successful professionals often lose money quietly — and what to do about it

High-income professionals often assume that strong earnings, disciplined saving, and diversified investments naturally translate into long-term financial efficiency. In practice, this assumption frequently masks a set of structural inefficiencies that compound quietly over time. This paper examines the most common “high-income blind spot”: the cumulative impact of tax drag, poor asset location, uncoordinated accounts, and portfolio structure mismatches. It outlines why these issues disproportionately affect high earners and introduces a framework for identifying and addressing them.

The Illusion of Progress

High income creates momentum.
Momentum can hide inefficiency.

Many professionals earning at the top of their fields—airline pilots, senior military officers, business owners, and executives—are doing *almost everything right*:

- They save consistently
- They participate in employer-sponsored plans
- They diversify across asset classes
- They avoid obvious financial mistakes

Yet despite strong habits, outcomes often underperform what the numbers suggest *should* be possible.

The reason is rarely market returns.
More often, it is **structure**.

What the “High-Income Blind Spot” Really Is

The blind spot is not ignorance.
It is fragmentation.

As income rises, financial complexity increases across multiple dimensions simultaneously:

- Multiple account types (taxable, tax-deferred, tax-free)
- Compensation variability (bonuses, overtime, equity, business income)
- Higher marginal tax rates

- Longer-term planning tradeoffs (retirement timing, liquidity, estate exposure)

When these elements are managed independently rather than as a coordinated system, inefficiencies accumulate quietly.

Tax Drag: The Silent Compounding Enemy

Tax drag refers to the reduction in returns caused by ongoing taxation of investment income and realized gains.

For high earners, this effect is magnified by:

- Higher marginal federal tax rates
- State and local taxes
- Net Investment Income Tax (NIIT)
- Portfolio turnover in taxable accounts

Research has consistently shown that after-tax returns—not pre-tax returns—are what ultimately determine long-term wealth outcomes (Poterba, 2001).

Even a 0.75–1.00% annual tax drag, when compounded over decades, can materially reduce terminal wealth.

Asset Location: Often Overlooked, Rarely Optimized

Asset allocation answers *what* you own.

Asset location answers *where* you own it.

High-income investors frequently place assets based on convenience rather than tax efficiency, resulting in:

- Tax-inefficient assets held in taxable accounts
- Tax-efficient assets sheltered unnecessarily
- Missed opportunities for tax deferral or tax-free growth

The Internal Revenue Service explicitly distinguishes between taxable income treatment across account types (IRS, 2023), yet asset location decisions are often incidental rather than intentional.

Portfolio Structure vs. Portfolio Appearance

Two portfolios can look identical on paper and behave very differently in reality.

True portfolio structure accounts for:

- After-tax expected returns
- Liquidity constraints
- Cash-flow timing
- Behavioral risk tolerance
- Rebalancing mechanics

Without this structural lens, portfolios may appear diversified while still exposing investors to unintended risks and inefficiencies.

The Cost of Uncoordinated Accounts

Employer plans, taxable accounts, IRAs, pensions, and business assets are often managed in isolation.

This lack of coordination can lead to:

- Redundant exposure
- Conflicting strategies
- Inefficient withdrawal sequencing
- Poor integration with long-term goals

As complexity increases, coordination becomes more important—not less.

Why This Matters More as Income Rises

At lower income levels, simplicity is often sufficient.

At higher income and asset levels:

- Marginal mistakes are larger
- Tax inefficiencies compound faster
- Structural errors become harder to unwind
- Opportunity cost increases

This is the point at which many investors transition from *accumulation* to *optimization*—whether they realize it or not.

A Practical Framework for Identifying the Blind Spot

Rather than asking, “Am I beating the market?” a more useful set of questions includes:

1. Are my assets located intentionally across account types?
2. Do my investments reflect after-tax outcomes?
3. Is my portfolio structure aligned with cash-flow reality?
4. Are my accounts coordinated toward a single strategy?
5. Can I explain *why* each piece exists?

If the answer to several of these is unclear, the blind spot may already be present.

Planning as a Decision Framework, Not a Product

Effective financial planning is not about complexity for its own sake.

It is about:

© 2025 ILS Financial, LLC. All rights reserved.

This document may not be reproduced or distributed without permission.

Investment advice offered through ILS Financial LLC, a Nebraska registered investment advisor.

- Clarifying tradeoffs
- Improving decision quality
- Reducing unnecessary friction
- Increasing confidence over time

For high-income professionals, this often means shifting the focus from products to structure, and from performance to process.

The high-income blind spot does not announce itself loudly.
It compounds quietly.

Addressing it does not require radical change, but it does require intentional structure, coordination, and an after-tax perspective.

For those willing to examine how the pieces fit together, the opportunity is not merely higher returns—but better outcomes.

Works Cited

Internal Revenue Service. (2023). *Publication 550: Investment income and expenses*. U.S. Department of the Treasury. <https://www.irs.gov/forms-pubs/about-publication-550>

Poterba, J. M. (2001). Taxation and portfolio structure: Issues and implications. *National Tax Journal*, 54(2), 369–388. <https://doi.org/10.17310/ntj.2001.2.12>

Sharpe, W. F. (1994). The arithmetic of active management. *Financial Analysts Journal*, 47(1), 7–9. <https://doi.org/10.2469/faj.v47.n1.7>

Dammon, R. M., Spatt, C. S., & Zhang, H. H. (2004). Optimal asset location and allocation with taxable and tax-deferred investing. *The Journal of Finance*, 59(3), 999–1037. <https://doi.org/10.1111/j.1540-6261.2004.00659.x>

This material is for educational purposes only and is not intended as investment, tax, or legal advice. The information contained herein is general in nature and may not apply to your individual circumstances. Past performance is not indicative of future results. Consult with a qualified professional before making financial decisions.